Clearances, FOCI & the DD254

Classified work has pass/fail requirements that take months to meet. Venture-backed companies hit FOCI more often than they expect. Start here, early.

THE PATH TO A FACILITY CLEARANCE

1. **A classified need**
   A government customer or cleared prime has classified work that requires you. You cannot apply for an FCL on your own.
2. **Sponsorship**
   That customer or prime sponsors your company to DCSA, the agency that processes facility clearances.
3. **Prepare the company**
   Appoint a facility security officer (FSO), identify key management personnel who must be cleared, and set up security procedures.
4. **Declare foreign interests**
   Report foreign ownership, investors, board members, debt and revenue (form SF-328). This is where FOCI surfaces.
5. **Mitigate FOCI if needed**
   DCSA decides what is required, from a board resolution up to a security control agreement, special security agreement or proxy agreement.
6. **FCL granted, then the DD254**
   The classified contract arrives with a DD254 setting its security requirements. Primes issue DD254s to cleared subcontractors.

TERMS

FCL	Facility clearance: the company may access classified information
PCL	Personnel clearance for an individual
FSO	Facility security officer, required for a cleared company
FOCI	Foreign ownership, control or influence
DD254	The security requirements for a classified contract
DCSA	Defense Counterintelligence and Security Agency
NISPOM	The rules for cleared industry (32 CFR Part 117)

GAP QUESTIONS TO ANSWER IN RESEARCH

- [ ] Is the work classified? At what level?
- [ ] Who will sponsor our FCL: the customer or a cleared prime?
- [ ] Do we have foreign investors, LPs with rights, board seats or debt?
- [ ] Who will be our FSO, and which managers must be cleared?
- [ ] Can we meet the expected DD254 by award (facility, people, safeguarding)?

COMMON MISTAKES

- Waiting for the RFP to start. FCLs take months.
- Assuming foreign money in the cap table doesn't count.
- Forgetting that, as the prime, you issue DD254s to your subs.

FOCI MITIGATION, FROM LIGHTEST TO HEAVIEST

Board resolution

The foreign investor holds a minority stake with no right to a board seat. The board formally excludes them from classified information.

Security control agreement

The foreign investor has board representation but not control. Adds a cleared outside director and controls.

Special security agreement

The foreign investor effectively owns or controls the company. Requires outside directors; some information may need extra approval.

Proxy agreement or voting trust

The foreign owner's voting rights are handed to cleared U.S. citizens. The most restrictive option.

Before taking foreign money, review board seats, voting rights, information rights and side letters with counsel. They decide which mitigation DCSA will require.